



The Firmwide 360° Performance Evaluation Process at Morgan Stanley

The objective of the annual Performance Evaluation Process is to provide every employee with quality performance feedback. We continue to believe strongly that candid feedback serves as the foundation for creating development plans for each individual that help the firm meet one of its most important goals: the continuous professional development of its employees. This development remains one of the critical success elements of the firm.

—Richard Fisher (Chairman) and John Mack (President)

The New Performance Evaluation Process

During 1993 Morgan Stanley implemented a new firmwide 360° performance evaluation system for over 2,000 professional employees worldwide at a total cost of over \$1.5 million. The revamped evaluation process was the result of a multi-year effort initiated by a task-force and implemented under the direction of Tom DeLong, the recently appointed chief development officer for the firm and the human resource management department, known at Morgan Stanley as the Office of Development.

The key elements of the system are described below:

360-Degree Feedback

The guiding principle of the new system was a "360-degree" feedback system in which feedback was solicited from superiors, peers, subordinates, and "internal clients." The first step was that all of the professional employees identified those people within the firm with whom they regularly interacted and would be in a position to provide substantive feedback on their performance. This list of prospective evaluators, called the Evaluation Request Form (ERF) (see **Exhibit 1**), was reviewed and discussed with the assigned evaluation director, typically the evaluatee's manager or supervisor. The ERF was then submitted to the Office of Development, which then distributed evaluation forms to the people listed on the ERF, collected the completed evaluations, and processed them into a Year-End Data Packet for each evaluatee.

Professor M. Diane Burton prepared this case with the assistance of Senior Lecturer Thomas J. DeLong as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

Copyright © 1998 by the President and Fellows of Harvard College. To order copies or request permission to reproduce materials, call 1-800-545-7685, write Harvard Business School Publishing, Boston, MA 02163, or go to <http://www.hbsp.harvard.edu>. No part of this publication may be reproduced, stored in a retrieval system, used in a spreadsheet, or transmitted in any form or by any means—electronic, mechanical, photocopying, recording, or otherwise—without the permission of Harvard Business School.

Self-Assessment

As subordinates, peers, colleagues and superiors completed their evaluations, each professional also completed their own self-evaluation (see **Exhibit 2**). The self-evaluation was viewed as an important developmental tool offering employees an opportunity to reflect on their own performance and also to incorporate their perspective into the final evaluation.

Explicit Evaluation Criteria

One of the key challenges faced by the system's designers was deciding on the evaluation criteria. Given the multifaceted nature and complexity of the various businesses that comprised Morgan Stanley, identifying broad categories of performance that could sensibly be applied throughout the firm proved difficult. After much debate, four broad categories that could be tailored to particular jobs, tasks, and divisions were identified:

1. *Market/Professional Skills*: Including market and product knowledge; analytical, quantitative and problem solving skills; creativity; initiative and commitment; judgment and decision making skills; versatility; oral and written communication skills and professionalism.
2. *Management and Leadership*: Including people management; global business orientation; evaluation, development and coaching skills; ability to work with a diverse workforce; fairness and sensitivity; management of the firm's resources; time management and planning skills.
3. *Commercial Orientation*: Including client relationship management; selling and cross-selling abilities; commercial instincts and revenue contribution; ability to continually evaluate risk/return tradeoffs; deal execution and project management skills.
4. *Teamwork/One Firm Contribution*: Including the ability to build, lead or actively participate on a business team; participation in recruitment, internal task forces and cross-divisional projects; involvement in internal and external/industry related community activities.

In general, the forms that evaluators completed were open-ended and asked for specific information on strengths and weaknesses across all four areas (see **Exhibit 3**). In the Investment Banking Division, there was an additional numeric evaluation that ranked individuals on a 5-point scale ranging from Unsatisfactory (1) to Outstanding (5) (see **Exhibit 4**). Evaluations from subordinates were similarly structured using a 5-point scale and open-ended questions specifically about management and leadership (see **Exhibit 5**). The performance criteria were increasingly rigorous as one progressed up the organizational hierarchy. For example, for professional skills, a vice president was expected to be "knowledgeable" about the firm's products, a principal was expected to be "fully operative" and a managing director should have "the broadest, most in-depth strategic knowledge of banking products."

High Quality Data and an Evaluation Director Managing the Process

The Office of Development collected these forms and consolidated all of the data into a 10-20 page document for each person being evaluated. This document was officially called the Year-End Data Packet, but was informally known as "the book." This raw data (which were anonymously reported from subordinates, but was clearly identified with colleagues and superiors) then had to be

interpreted and synthesized by the evaluation director. As one managing director who served as an evaluation director described:

The data packets are a cornucopia of information that the evaluation director has to sift through. That task is huge and extremely important. It is critical to the integrity of the system and to preserving the ongoing working relationships.

The evaluatee never saw the actual comments made by those who had completed evaluation forms. Instead, the evaluation director produced an Evaluation and Development Summary (see **Exhibit 6**). For some divisions these Evaluation and Development Summaries were the data on which promotion and compensation decisions were based.

Everyone in the firm acknowledged that it took a great deal of time and effort to write clear and consistent summaries. The process was perceived as helpful in conducting performance appraisals because the manager was able to draw on detailed and specific information from a broad cross-section of employees. One director commented:

These summaries write themselves. If 18 people are saying basically the same thing, then you know it's a problem.

Another echoed:

It's interesting how often the themes converge. I always encourage people to have more data points, even though it means I have to read more. Direct quotes make the message less ambiguous.

The Evaluation and Development Summary served as the template for the Performance Review Discussion that took place between the director and the evaluatee. While in most cases this discussion was straightforward, there were occasional difficulties:

The most challenging situation is when there is a complete disconnect between a person's self-perception and that of the colleagues, superiors, and subordinates. And unfortunately it is not usually the case that you have to tell people that they are better than they think. Thankfully, this is the exception rather than the norm.

Of course no one claimed that the discussions were easy:

It's one of the most difficult things we ask line managers to do. You have to continue to work with these people, count on them. They are critical to your success. And all of a sudden you are the judge.

Assessing the New System's Effectiveness

After the first year the system was implemented the task force held focus groups to assess the effectiveness of the redesigned performance evaluation system. There was widespread consensus that the new system was a significant improvement over its predecessor. In the past, assessments were done verbally in a large group by all those senior to an evaluatee. All junior employees were evaluated collectively and the oral meeting led to assessments that had a "sound-bite" quality. Furthermore, in the past, people had generally not received any individual feedback. The volume of the data and the written format of the new system contributed to perceptions of fairness and objectivity. As one managing director described:

On the margin you make better decisions. This system advantages those who may not be good at promoting themselves. It also allows you to see through those who are "too good" at self-promotion.

But of course there were a number of issues and complexities that needed to be addressed:

The system included numeric scales as well as an overall summary rating that was intended to facilitate comparisons across individuals. An unanticipated consequence of the numeric ratings was that the numbers were used as if they were somehow "real" and precise. As one managing director recalled:

I remember meetings where we were comparing people and there would be this conversation about so-and-so is a 4.7 but this other person is only a 4.65. And this was a real discussion as if there was a critical difference revealed in that 0.05 points.

Some managers felt that the summary number was a crutch that allowed people to discount the qualitative information contained in the open-ended summaries. Another problem with both the numeric scores and the written comments was the perception that rampant "grade inflation" existed. One managing director shared his sense of the evaluations:

If you are incompetent they would say "perhaps needs some training." You need an eye, I mean you have to be sort of a criminologist, because you'll find that very little negative stuff is said. When there are criticisms, they are couched in terms like, "although he's doing a terrific job with clients, he could perhaps spend more time calling on clients that are not as likely to be active." Well, that means the person isn't calling clients that aren't doing business in that time frame. An outsider might wonder why that doesn't say something like, "Not making enough calls," but here the language is not used that way. I mean, you could get someone fired.

Although the system designers had tried to keep compensation and developmental discussions separate, in practice, the two were inextricably linked. The data from the performance evaluation process were used by some divisions as justification for compensation decisions.

The biggest challenge was how to weight the criteria and the input from different evaluators. The process raised fundamental questions about what was important to the firm. How much should "commerciality" count? How important was leadership and management? And of course, there were a number of skeptics who made comments like, "Look, people either produce a lot or they don't," and complained that "the system captures so many soft qualities that don't really matter." One employee described the situation:

They're very focused on making sure that you don't ruffle feathers. They want you to be a team player and be good to your colleagues. But I still believe at the end of the day the firm is *results* oriented. You need to be a team player, you need not to ruffle feathers, but at the end of the day, you'd better bring in the dollars.

All of these issues and concerns continued to be debated as the firm "tweaked" the system each year, but the general view was that there was growing commitment to the concept. As one managing director put it: "I find myself weary of the process, but impressed with the results."

Exhibit 1 Evaluation Request Form

IBD & MED
EVALUATION REQUEST FORM (ERF)

Evaluatee: _____
 Title: _____
 Department: _____
 Date: _____
 Evaluation Director: _____

EVALUATEE INSTRUCTIONS—Your responsibility is to:

- List those evaluators who can best provide meaningful feedback on your performance.
- Sign the ERF and review it with your Evaluation Director.

<u>Downward</u>		
Name	Department/Location Name	Department/Location
1.		3.
2.		

<u>Colleague Long</u>		
Name	Department/Location Name	Department/Location
1.		3.
2.		4.

<u>Colleague Short</u>		
Name	Department/Location Name	Department/Location
1.		3.
2.		4.

<u>Upward</u>		
Name	Department/Location Name	Department/Location

EVALUATION DIRECTOR INSTRUCTIONS—Your responsibility is to:

- Review and edit your evaluatee's evaluator nominations.
- Sign the completed ERF and submit to your regional PE Center.

Evaluatee Signature: _____ Date: _____
 ED Signature: _____ Date: _____

PLEASE SEE REVERSE SIDE FOR DETAILED INSTRUCTIONS.

IBD & MED

EVALUATION REQUEST FORM (ERF) INSTRUCTIONS

This is your opportunity to nominate evaluators who can best provide meaningful feedback on your performance. You should nominate those evaluators (direct supervisors, colleagues, and direct reports) who you believe have the most in-depth knowledge of your performance and accomplishments. Your Evaluation Director (identified on the ERF label) will review your nominations and is responsible for final approval of the suggested evaluators.

Please choose your evaluators thoughtfully, restricting your nominations only to those people who can provide substantive feedback. It is in everyone's interest to avoid unnecessary evaluators.

What you need to do:

1. Complete the ERF

- **Downward Evaluators:**

Maximum: 3

List those professionals (both intra- and interdivisional) for whom you have worked closely in the last year who can provide a comprehensive assessment of your performance.

If a superior (not your Direct Manager) cannot provide a comprehensive assessment (due to limited, brief contact), then list this evaluator in the colleague section. This type of evaluator will be designated a colleague evaluator and will use the colleague form.

- **Colleague Evaluators:**

Maximum: 4 Long, 4 Short

Colleagues are defined as those professionals (both intra- and interdivisional) with whom you have worked in the last year, and who can comment on your performance.

Colleague evaluators may include those at the same title level as you as well as those senior or junior in title to you.

For Colleague Long: Colleagues with whom you have worked most closely and who are most knowledgeable about aspects of your performance.

For Colleague Short: Colleagues with whom you have had meaningful but limited exposure.

- **Upward Evaluators:**

Maximum: Unlimited

List the names of those professionals who have worked directly for you in the last year and who can provide a meaningful assessment of your managerial and leadership skills. It is preferable to include all those considered to be your direct reports (at the professional level), since selecting some and omitting others may cause concern and misunderstanding.

To preserve anonymity, **an upward evaluation report is produced only if three (3) or more upward evaluations are returned.**

2. Sign and date the ERF and then submit it to your Evaluation Director

Your Evaluation Director must review, make the final determination, sign, and return the completed ERF to OOD.

Your Evaluation Director is listed at the top of the ERF Form.

Exhibit 2 Annual Self-Evaluation Form**ANNUAL SELF-EVALUATION****Name:**

Title:

Department:

Date:

This Self-Evaluation is an important tool in your ongoing personal and professional development. Your thoughtful and candid self-evaluation will help your manager to acquire a full and accurate understanding of your progress toward agreed-upon goals and objectives, your role in business transactions, client relationship development and cross-selling and your contributions to the divisional and MS communities. It will also allow you to identify attributes you feel need development to increase your professional effectiveness.

Please keep a copy of the self-evaluation for use during the Performance Review Discussion and for future reference. (Use the space provided on this form only.)

I. BUSINESS GOALS & ACCOMPLISHMENTS

Comment on your role in achieving your business goals and objectives. Consider any of the following that are relevant:

- Important new business
- Major new transactions
- Key relationships/enhanced
- New product development
- Client upgrades/downgrades
- Market penetration
- Performance vs. indices
- Cross-selling
- Expense control/profit enhancement
- Capital usage/risk management

(Over)

II. CONTRIBUTION TO MS, DIVISION, AND EXTERNAL/INDUSTRY-RELATED COMMUNITY

Comment on your contribution to the MS, Division, and external/industry-related communities, especially in the areas of training, recruiting, firm/divisional task forces, committees, events and administration, industry panel representation, speaking engagements, and volunteer activities (e.g., MS Foundation):

III. PROFESSIONAL DEVELOPMENT

In light of your progress toward business goals and your contributions to the MS, Division, and external communities:

1. What do you consider to be your three greatest strengths?

-
-
-

2. What attributes should you develop to enhance your professional effectiveness?

-
-
-

3. What skills and abilities are currently underutilized which you would like to put to greater use?

-
-
-

4. What are your longer-term career goals at Morgan Stanley?

-
-
-

5. What training, other job experience(s) and/or Divisional management support would help you reach your goals and improve your effectiveness?

-
-
-

Signed: _____

Date: _____

Exhibit 3 Short Evaluation Form**SHORT EVALUATION FORM**

Evaluatee: _____	Evaluation
Department _____	Period: _____
Evaluator: _____	BEGIN: (MONTH/YEAR) END: (MONTH/YEAR)
Date: _____	Project/
	Assignment: _____

COMMENTS ON OVERALL PERFORMANCE:

- Please describe the evaluatee's primary Overall Performance/Strengths as well as the evaluatee's most important Development Areas.
- Pay particular attention to the categories listed (refer to the criteria matrix for a description of the specific criteria)

Professional Skills: • Market & Product Knowledge • Analytical/Quantitative Problem Solving Skills • Creativity • Initiative & Commitment • Judgment & Decision Making • Versatility • Oral/Written Communication Skills • Professionalism	Commercial Orientation: • Relationship Management • Cross-Selling/Selling • Commercial Instincts/Revenue Contribution • Enhances PBT/Expense Control • Adherence to Firm Policies/Limits • Deal Execution/Project Management
One Firm Contribution: • Team Player Skills • Contributes to MS & External Related Community	Management Skills: • Global Business Management • Leadership & Management of People • Evaluation, Development & Coaching • Management of Diverse Workforce • Management of Firm's Resources • Time Management • Planning

Three Greatest Strengths (provide examples):

Three areas in need of further development. Indicate suggestions for developing those areas:

Signed (Evaluator): _____

Exhibit 4 IBD Long Evaluation Form**LONG EVALUATION FORM**

Evaluatee:	This evaluation is based on (check one): <table border="1"> <tr> <td>Extensive Involvement</td> <td></td> </tr> <tr> <td>Normal Involvement</td> <td></td> </tr> <tr> <td>Limited Involvement (Do not fill the Skills Evaluation section, i.e., any boxes, if you check this)</td> <td></td> </tr> <tr> <td>Unable to Evaluate (explain on reverse side)</td> <td></td> </tr> </table>	Extensive Involvement		Normal Involvement		Limited Involvement (Do not fill the Skills Evaluation section, i.e., any boxes, if you check this)		Unable to Evaluate (explain on reverse side)	
Extensive Involvement									
Normal Involvement									
Limited Involvement (Do not fill the Skills Evaluation section, i.e., any boxes, if you check this)									
Unable to Evaluate (explain on reverse side)									
Department:									
Evaluator									
Date:									

Not observed	Data insufficient to make an evaluation
Unsatisfactory	Overall performance was unsatisfactory; failed to meet job requirement and Firm standards of excellence
Needs Improvement	Performance is fully satisfactory in most respects, but development is required to achieve Firm standards of excellence
Good	Performance meets all job requirements and Firm standards of excellence
Very good	Performance exceeds job requirements and Firm standards of excellence in many areas
Outstanding	Exceptional performance which consistently and in all areas exceeds job requirements and Firm standards of excellence

Not Observed	Unsatisfactory	Seeks Improvement	Good	Very Good	Outstanding
--------------	----------------	-------------------	------	-----------	-------------

Professional Skills:

Market & Product Knowledge
 Analytical/Quantitative/Problem Solving Skills
 Creativity
 Initiative & Commitment
 Judgment & Decision Making
 Versatility
 Oral Communication Skills
 Written Communication Skills
 Professionalism

Commercial Orientation:

Relationship Management
 Cross-Selling/Selling
 Commercial Instincts/Revenue Contribution
 Enhance PBT/Expense Control
 Adherence to Firm Policies/Limits
 Deal Execution Project Management

Management Skills:

Global Business Management
 Leadership & Management of People
 Evaluation, Development & Coaching
 Management of Diverse Workforce
 Management of Firm's Resources
 Time Management
 Planning

One Firm Contribution:

Team Player Skills
 Contributes to MS & External-related Community

Overall Rating:

--

Over

Three greatest strengths (provide examples):

Three areas most in need for further development. Indicate suggestions for development of these areas:

Signed (Evaluator): _____

Exhibit 5 Annual Upward Evaluation Form**ANNUAL UPWARD EVALUATION**

Evaluatee/Title _____
Department: _____
Date: _____

This Evaluation is Based on (check one):

Extensive Involvement	
Normal Involvement	
Limited Involvement	
Unable to Evaluate	

This Upward Evaluation form should be completed on professionals who have closely supervised your work. The primary purpose is developmental—to help your manager pinpoint managerial and leadership strengths and development areas.

Your comments are submitted anonymously and will be maintained in strict confidence. No manager will receive an upward report unless at least three evaluations are submitted.

Instructions

Complete the skills evaluation section by checking one box for each criterion. Please use the following scale:

Not observed	Data insufficient to make an evaluation.
Unsatisfactory	Overall performance was unsatisfactory, failed to meet job requirements and Firm standards of excellence.
Needs Improvement	Performance is fully satisfactory in most respects, but development is required to achieve Firm standards of excellence.
Good	Performance meets all job requirements and Firm standards of excellence.
Very Good	Performance exceeds job requirements and Firm standards of excellence in many areas.
Outstanding	Exceptional performance which consistently and in all areas exceeds job requirements and Firm standards of excellence.

Leadership/Management Skills Section

	Not Observed	Unsatisfactory	Needs Improvement	Good	Very Good	Outstanding
I. LEADERSHIP						
1. Establishes Direction						
• Develops & communicates a positive vision of the unit's future & engages people in the vision						
• Maintains consistent focus on client/users						
• Keeps staff informed of changes & developments						
2. Builds Commitment						
• Provides sufficient resources & organizational support						
• Recognizes time commitments of other projects; balances real deadlines & minimizes artificial ones						
• Invites information, questions, suggestions & opinions from staff						
• Ensures appropriate participation of junior members in meetings, phone calls, etc.						
• Builds mutual respect & trust among team members						
• Confronts conflict situations honestly and directly						
3. Creates High Performance						
• Challenges conventional wisdom; takes prudent risks; seeks continuous improvement						
• Empowers people by delegating clear & full authority & accountability						
• Inspires enthusiastic efforts & highest levels of achievement						
• Treats a diverse workforce with sensitivity, fairness & respect						
• Fosters collaboration & cross-selling, builds partnerships across organizational lines						
• Effectively deals with pressure & crises						
4. Leads by Example						
• Leads by example; has high credibility						
• Shows patience & understanding						
• Exhibits tough-mindedness & the ability to make difficult business decisions						
• Possesses required professional/technical/product knowledge & skills						
• Strives to grow professionally; seeks & accepts development feedback						
II. MANAGING PERFORMANCE						
5. Defines Expectations						
• Establishes & communicates clear individual/team performance objectives & expectations						
• Clearly indicates the highest priority goals & assignments						
6. Provides Feedback						
• Provides insightful, real-time positive & corrective feedback						
• Expresses appreciation for a job well done; recognizes value of contribution						
• Active & accurate listener						
7. Improves Current Performance						
• Spends sufficient time teaching & coaching						
• Keeps abreast of key activities without excessive "checking up"						
8. Coaching for Development						
• Acts as mentor, takes time to discuss career/development						
• Challenges people to expand their role & maximize their abilities & contribution						
• Develops leadership capabilities of staff						
9. Overall Rating						

Comments:

1. To be a more effective manager/leader and for the greatest impact, what should this person stop doing?
2. To be a more effective manager/leader and for the greatest impact, what should this person continue doing?
3. To be a more effective manager/leader and for the greatest impact, what should this person start doing?

Exhibit 6 Evaluation and Development Summary Form**EVALUATION & DEVELOPMENT SUMMARY**

Evaluatee: _____

Evaluation Director: _____

Title: _____

Signature: _____

Date: _____

Date: _____

Review of Annual Performance**I. PERFORMANCE SUMMARY, INCLUDING ACCOMPLISHMENTS:**

Consider objectives identified in prior year's E&D Summary as well as business objectives set earlier this year. Refer to Self-Evaluation where applicable.

II. EVALUATION THEMES:**A. Strengths**

Comments

1.

2.

3.

B. Development Areas

Comment

1.

2.

3.

EVALUATION & DEVELOPMENT SUMMARY
Goals and Objectives for Upcoming Year

III. FUTURE PERFORMANCE OBJECTIVES:

A. Business Goals (List important business and commercial targets):

B. Professional Development Goals (List important development suggestions to enhance evaluatee's professional effectiveness):

IV. CAREER GOALS: (Comment on evaluatee's short-term and long-term career goals as described in the self-evaluation):

V. EVALUATEE'S COMMENTS:

Evaluatee's Signature: _____

Date _____